# NPLify · P0 Technical Baseline

## Transaction Lifecycle & Approval State Machines

New XP Technologies Limited

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## How to read this pack

Four map pages are now part of the pack as documents of their own, and are the place to start: the Top-Down Map (from the business, through the data model and the deal states, to the scenarios and the reading order), the Deal Flow on one page (Quote, Collect, Convert, Settle, with the roles and the money path), the Workflow Tree (8 classes, 27 sub-classes, 92 procedures, each naming who initiates, who approves, the codes it is written under and the records it touches) and the Workflow Tree on one page. Read them in that order, then this document. Every worked transaction (T), acceptance vector (L, B), walkthrough (W, X), flow (F) and procedure (C, A, D) has one identifier, listed in the Reading Companion's identifier register; the Test Strategy & Coverage document says which test proves each procedure.

## 1 · Three roles, one principle

Every controlled action is **maker-checker**: one person initiates, a different person in the approving role approves, and the system refuses an approval by the initiator. Since the rights are configuration, not code: `ROLE` holds the three roles of today and `ROLE_RIGHT` says per controlled action which role may initiate, which may approve and which is added on escalation; the approver's role must hold `may_approve` for the action. Visibility is cumulative: Operations sees the least, Finance sees everything Operations sees plus the economics, Management sees everything.

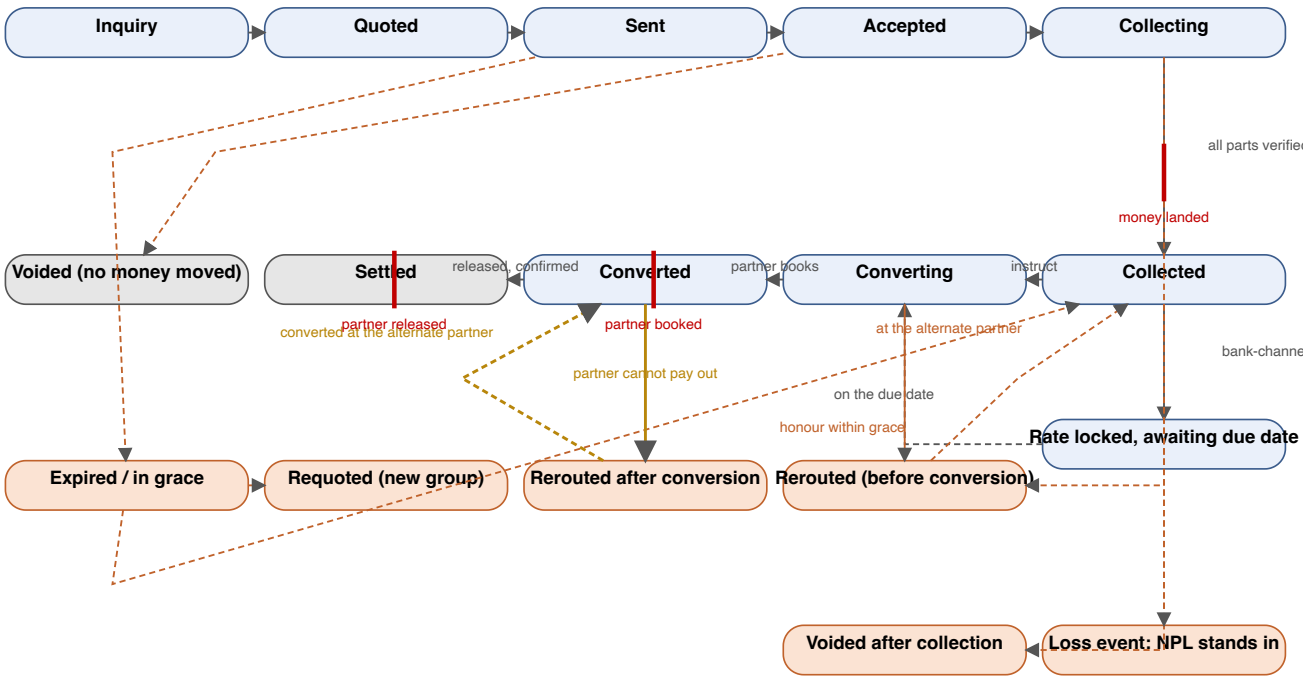
| Role | Does | Sees | Never sees |
|---|---|---|---|
| Operations | Quotes, screens wallets, verifies collections (cash after the partner's count), instructs conversions, prepares settlements, requests reroutes, records destination approvals, enters partner rates as quoted | Operational fields, sender-facing prices (including the customer-facing figures the quote prints), partner rates as entered, deal states | Reference rate at capture, spread, margin, pool, cost breakdown, ledger balances, the four variances, FX_RESULT, loss shares, offsets, earnings, reseller margins — on any screen, export, message or report (ROLE.sees_economics = false) |

| Role | Does | Sees | Never sees |
|---|---|---|---|
| Finance | Approves what Operations initiates (quotes, extensions, rates, conversions, settlements, exceptions); resolves variance exceptions; recommends covered fees and fee caps; records a partner's hold, freeze or decline and its clearance (a screening that is not clear is Management's second look); requests balance conversions, dues recovery, earnings offsets and loss splits; owns reconciliation, the month-end true-ups and ledger adjustments; proposes configuration | Everything Operations sees plus all economics, postings and balances | — |
| Management | Approves escalations and the heavier actions listed in Section 5 (loss splits, offsets, balance conversions, dues recovery, covered fees and raised caps, own-wallet transfers, post-money voids, own desks); approves configuration, system settings and user changes; countersigns releases when only one Finance user is on shift | Everything | — |

## 2 · The deal: Quote → Collect → Convert → Settle

A deal is a group of one or more legs. A quote-first leg walks the whole top row of Figure 1; a collect-first leg is born at Collected because the money arrived before any quote; an estimate-first leg enters Collecting with an indicative figure and is priced at conversion; a return leg is born at Collected, funded by the returned payout and attributed to its parent leg's group. Pricing fields are stamped once and never recomputed. Fee parts are percentages of the principal at the basis rate and never compound; a target-out quote applies the fee as a markup on the target.

**Figure 1 — deal leg lifecycle, with the points of no return and the reroute after conversion**




*Red bars (Lifecycle 7a): after "money landed" only a post-money void, a reroute or a loss event remain; after "partner booked" the booking stands and only a variance decision, a reverse conversion or a reroute after conversion can move the balance; after "partner released" nothing is cancelled, the line ends confirmed, short or returned.*
*.9. Collect-first and return legs are born at Collected; estimate-first legs enter Collecting.*

*Figure 1 — Deal leg lifecycle. Blue: normal path. Orange: exceptions. Rounded: end states. Red bars: the points of no return (Section 7a). Collect-first and return legs enter at Collected; estimate-first enters at Collecting; a reroute after conversion (Section 2b) returns the leg to Converted at the alternate partner.*

## Transitions

| From | To | Event | Guard | Who |
|---|---|---|---|---|
| Inquiry | Quoted | Price computed: partner × pair chosen, fee structure and tier applied, rate snapshot taken, day's rate comparison created if missing; the customer-facing fee and rate derived | Partner rate version usable (not breached); margin ≥ floor, else Finance approval; an approved destination exists for the entitled group with that partner; the method is one the partner offers | Ops; Finance if below margin |
| Quoted | Sent | Quote package issued and marked sent (QUOTE_PACKAGE, template sender-facing only) | Within quote_freshness_min of the snapshot; otherwise re-price | Ops |
| Sent | Accepted | Sender accepts | Within the validity in force (effective_valid_until) | Ops records |

| From | To | Event | Guard | Who |
|---|---|---|---|---|
| Sent / Accepted | Sent / Accepted (validity extended) | QUOTE_VALIDITY_EXTENSION: the package re-issued at the same price with a later validity | Before the validity in force ends; any number of times; Finance approves, Management added when the new validity passes the partner's cutoff or the rate version's expiry | Ops requests; Finance |
| Sent / Accepted | Expired / in grace | Validity lapses | Grace applies for grace_min only if market drift ≤ grace_drift_pct | System |
| Expired / in grace | Requoted | Late decision: re-quote, a new deal group; at the sender's request the new leg may be priced on the expired leg's rate by an approved override (honour_expired_rate), the difference against the day's rate posting to VAR_RATE_HONOUR | New deal group reference; the original stamp is kept; Finance approves the override | Ops; Finance |
| Expired / in grace | Collected | Late decision: honour the old quote within grace | Project late_collection_policy allows it; recorded Finance approval | Finance |
| Accepted | Collecting | Instructions issued: an active endpoint of the leg's partner entity whose kind matches the collection method, a bridge wallet where the partner lacks the network, or cash instructions with a token | Endpoint active (a bank endpoint only with rail) and of the right kind; a crypto sender's wallet screened unless the project skips up-front screening | Ops |
| Collecting | Collected | All parts verified (hash / slip / receipt; a cash part after the partner's count) | Collected amount matches; each part landed in an active endpoint of the leg's partner entity matching collection_method; a single-use endpoint serves this deal only; overpayment → sender credit; underpayment → wait or void | Ops verifies |
| Collected | Rate locked, awaiting due date | On a pair that relies on the banking channel the partner confirms the rate after its cutoff | needs_bank_lock; conversion_due_date = the next business day (weekends and HOLIDAY rows skipped) | System |
| Collected / Rate locked | Converting | Conversion instructed to the partner, optionally keeping the deal's margin unconverted (residual_in) | Rate version still usable; not before conversion_due_date; a next-day rate that breaches the minimum margin defers the conversion with a reason | Ops; Finance approves |

| From | To | Event | Guard | Who |
|---|---|---|---|---|
| Converting | Converted | Partner books; actual_out recorded; margin recognised; the pair's rounding applied; markup-share and rebate accruals posted with the conversion | Variance within tolerance, else an exception opens (the deal does not wait); the difference posts to the account of its cause | System; Finance on exception |
| Converted | Settled | Client net released by the partner, the promise discharged on release, every line confirmed (full or short) or returned | Settlement lifecycle, Figure 2 | — |
| Collected | Loss event | Money lost after verification: a frozen single-use account, cash found short, a wrong-chain transfer | Management approves the split; the whole loss is booked to NPL and the client made whole; the part stays verified and the deal continues | Ops records; Finance; Management |
| Inquiry … Collecting | Voided | Void before money moved | Reason recorded; no postings | Ops; Finance |
| Collected / Converted | Voided after collection | Void after money moved | Disposition: refund (network-fee policy), sender credit, or hold; a refund while the leg is on hold only on the partner's written instruction, with its reference, and Management's approval (2c) | Ops; Management |
| Converting / Collected | Rerouted → Collected at the alternate partner | Partner unavailable, limit reached, holiday, compliance hold | Approved REROUTE; alternate partner in the applicable set; the money itself not under a partner hold (2c) | Ops; Finance |
| Collecting … Converted | On hold (the leg keeps its state) | A partner reports a hold, freeze or decline on the leg's money or its destination (EMERGENCY_ACTION destination_freeze, REROUTE trigger compliance_hold, LOSS_EVENT account_frozen), or NPL's screening of a wallet on the leg is not clear under the provider's Strict rulebook (second look pending) or stands at reject | The hold is recorded on the leg with its kind (partner_hold / screening_hold) and the event or screening row it comes from; every money-moving action on the leg is refused while it stands (2c) | System on the event; Ops records |
| On hold | The state it left | Partner hold: the partner's clearance, recorded with its reference. Screening hold: Management's second-look decision accept or accept_alternate, or a new screening row that is clear | Clearance reference present (partner); APPROVAL by Management, approver not the person who screened (screening); the lift is written to AUDIT_LOG with the reference | Finance records; Management decides |

| From | To | Event | Guard | Who |
|---|---|---|---|---|
| On hold | Voided after collection → Refunded, or Rerouted | Disposition under hold: the partner instructs a refund in writing, or the money is moved to a partner the hold does not touch | The partner's instruction reference recorded; Management approves; a refund goes only to the sender's return receiver; never while a partner hold is on the balance itself | Management |
| Converted | Rerouted after conversion → Converted at the alternate partner | The converting partner cannot pay out (suspended, limit reached, holiday, bank down) and NPL chooses not to wait: the balance is converted back, held in NPL's wallet, forwarded and converted again | Approved REROUTE with phase post_conversion; alternate partner in the applicable set; Management approval; custody within custody_max_hours; the client net stays as priced; any payout instruction already given to the first partner is acknowledged by it as rejected or not executed, with its reference (2d) | Ops; Finance; Management |

## 2a · Effective-date rules

Pricing stamps are write-once, and configuration is versioned by effective date (Configuration Schema, section 1). The four rules below say which version a deal uses; they are the same rules as in the Configuration Schema.

| Rule | What happens |
|---|---|
| 1. New versions apply to new pricing only | An approved configuration change takes effect for deals priced on or after its effective date. A deal priced before that date is not re-priced. |
| 2. A priced deal keeps its versions | The fee structure version, the tier, the rate basis, the rounding options, the partner configuration and the policy versions stamped at pricing stay with the deal to the end of its life, including through settlement, return and loss handling. |
| 3. A re-quote uses the configuration of the new pricing time | An expired or requoted leg is priced afresh on the versions in force when the new quote is made (a new deal group); the original leg keeps its stamp. |
| 4. A collect-first deal uses the configuration in force when it is priced | A collect-first leg is priced at conversion, so it uses the versions effective at that time, not at the time the money arrived, unless a documented client agreement names a different rule for that project. |

## 2b · Emergencies in the middle of a deal: the three cases

When a partner must be suspended, a destination frozen or a cutoff overridden (the emergency actions of Section 5), the deals already in flight are in one of three positions. The table says what can be done in each.

| Case | What can be done | Who | What posts |
|---|---|---|---|
| 1. Collection started, not completed (Accepted or Collecting) | Void before money moves: the leg is voided, the instructions withdrawn, a single-use endpoint released. If the sender has already paid part, the deal is in case 2 for that part. | Operations starts, Finance approves | Nothing; no money has moved. |

| Case | What can be done | Who | What posts |
|---|---|---|---|
| 2. Collected, not converted (Collected or Rate locked) | Reroute with phase post_collection: the unconverted money goes through NPL's own wallet to an alternate partner in the applicable set, or is refunded to the sender (a post-money void). | Operations requests; Finance approves the reroute; Management approves a refund | Existing Pattern D of the Ledger Posting Design (T12, T13): HELD, then COLLECTED at the alternate partner. |
| 3. Converted, sitting at the partner (Converted) | Reroute after conversion, phase post_conversion (NPL decision, 20 October): the converting partner converts the client's balance back to the collection currency at its rate of the day, pays it to NPL's own wallet, NPL forwards it to the alternate partner, and that partner converts at its own rate of the day. The client's entitlement is unchanged; the rate difference and the second partner's cost are NPL's. | Operations requests; Finance approves; Management approves, because NPL's wallet holds client money in the meantime | New Pattern O of the Ledger Posting Design (T56 to T58): a balance conversion back, custody, the forward, the second conversion with VAR_CONVERSION and the pool. |

### Reroute after conversion (phase post_conversion)

Figure 4 gains one entry point. A REROUTE with phase post_conversion starts from a leg in Converted, not from Collected: Requested (Operations, trigger recorded) → Approved (Finance, then Management) → Reconverted (the converting partner has converted the balance back; a BALANCE_CONVERSION owned by the reroute, no markup) → In custody (own wallet) → Forwarded to alternate partner → Completed when the alternate partner has converted and the leg is back in Converted there. The leg's client net is write-once and is what the alternate partner must deliver into the client's balance; what it actually delivers, less its stated cost, differs from that by the rate difference, which is posted to VAR_CONVERSION against NPL's pool at the alternate partner. NPL's margin captured at the first conversion stays where it was earned. Custody is bounded by custody_max_hours and shown on the custody view like any reroute. The first partner's transfer to NPL's wallet and NPL's forward to the alternate partner are both outbound transfers under the controls of Section 5. A reroute after conversion is also an alternative payout, so Section 2d applies: it starts only when any payout instruction already given to the first partner is acknowledged by that partner as rejected or not executed.

## 2c · Holds: scope, allowed actions, release and audit

A hold is a named condition on a deal leg, not a narrative. It comes from one of two sources and keeps the leg in the state it was in: a **partner hold** (the partner, or its bank, reports a hold, freeze or decline on the client's money or on a destination: NPL records it as the event it is and does not decide it) or a **screening hold** (NPL's own screening of a wallet on the leg is not clear under the provider's Strict rulebook and awaits Management's second look, or a decision of reject stands). NPL has no compliance function; the partner's decisions are the partner's, and the only decision NPL takes is Management's second look on its own screening (Roles & Visibility rule 11).

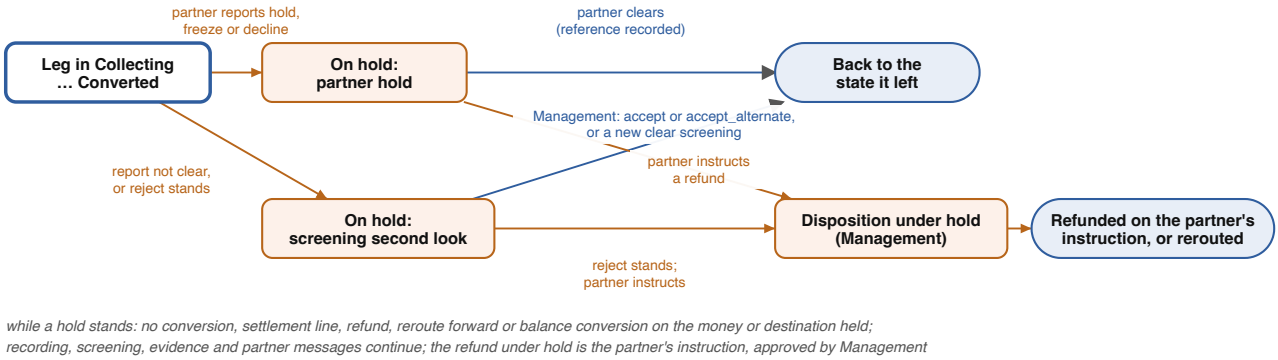



*Figure 1a — A hold on a deal leg. The leg keeps its state; a partner hold ends only on the partner's clearance, a screening hold only on Management's second look or a new clear screening; the one movement under a hold is the disposition the partner instructs, approved by Management.*

| Question | Rule |
|---|---|
| Scope | The hold attaches to the leg and names what it covers: the collected money (partner hold on the balance, or a screening hold on the sender's wallet), or the destination (partner freeze of the destination, or a screening hold on the receiver's wallet). A partner hold on a balance covers every leg whose money rests in it. |
| Blocked while it stands | Every action that moves the held money or pays the held destination: instructing a conversion or a balance conversion, preparing or releasing a settlement line, a refund or sender credit paid out, a reroute forward from custody, a return leg. The server refuses them with the hold as the reason, whichever role asks and whichever channel (screen, API, a replayed request). |
| Allowed while it stands | Recording and evidence: a new screening row, partner messages and their references, the exception list, verification of a part that has already landed, a void before money moved on a leg that has not collected, and settlement lines of other legs that neither draw on the held money nor pay the held destination. |
| Who lifts it | A partner hold: nobody at NPL; it ends when the partner's clearance is recorded with its reference (Finance records it; it is an audited record, not an approval). A screening hold: Management's second-look decision accept or accept_alternate (an APPROVAL under screening_second_look, approver never the person who screened), or a new screening row that is clear. Finance has no right over either. |
| Disposition | While a hold stands, the only money movement is the one the partner instructs in writing (a refund to the sender's return receiver, or a transfer the partner directs); it is recorded with the partner's reference and approved by Management, and never happens while a partner hold is on the balance itself. The reviewer's case, funds from a newly flagged wallet and a partner asking for a refund, is exactly this path: Operations cannot issue the return transfer; Management approves it on the partner's instruction. |
| Expiry and re-screening | A hold does not expire by time. A screening hold is re-examined only by a new screening row (new report, new decision); a partner hold is chased daily from the exception list with its age (Section 8). A leg on hold for longer than the project's limit is escalated to Management by the time-limit rule of 8a. |
| Audit | The start and the end of every hold are AUDIT_LOG rows naming the event or screening row, the reference, the actor and the time; the second-look decision is an APPROVAL; every refused action under a hold is logged with the hold as its reason. The ERD gains the hold on the leg (hold_kind, hold_ref) and the tests of the Test Strategy (S-HOLD) attempt a payout, a conversion, a refund and a reroute under each kind of hold. |

## 2d · External instructions: prepared, acknowledged, executed

Every instruction NPL gives a partner — a conversion, a balance conversion, a settlement line, the forward of a reroute — is one row with its own reference (instruction_ref, the idempotency key of the Architecture) and an acknowledgement status that distinguishes three facts the reviewer asks to keep apart: the instruction is **prepared** at NPL, the partner has **acknowledged** it (from then on it cannot be withdrawn: the first point of

no return), and the partner has **executed** it (the money moved: the second). A line is "sent" only on the partner's acknowledgement; an instruction with no acknowledgement is "outcome unknown" and stays so until the partner's statement or confirmation says executed or not executed.

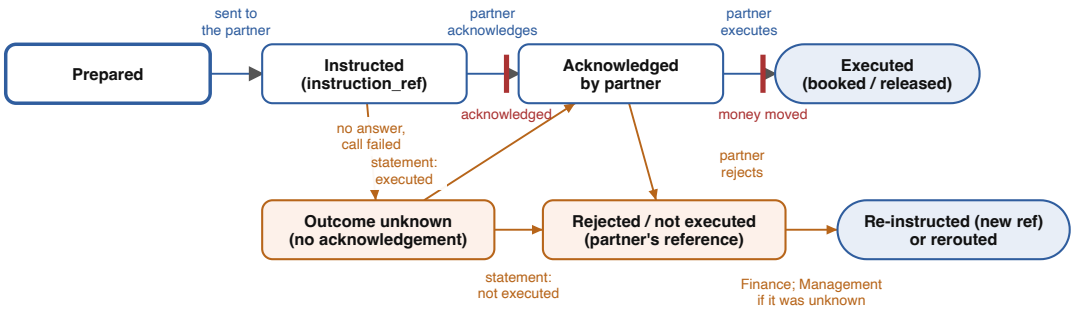
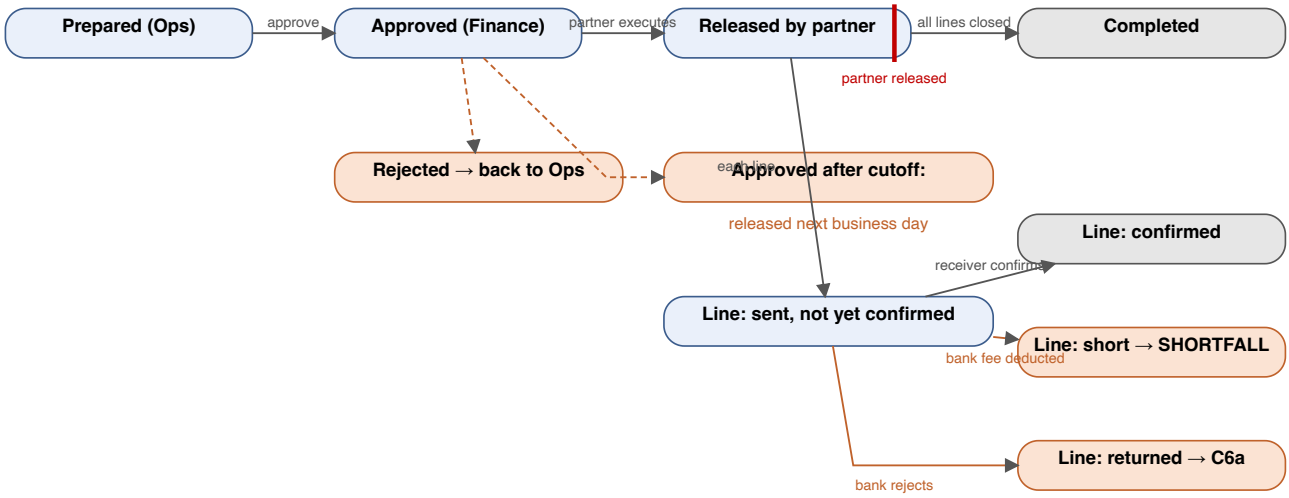



*Figure 2a — An external instruction (conversion, settlement line, reroute forward). Two points of no return: the partner's acknowledgement (no withdrawal) and the execution (money moved). One open instruction per promise: a second one is refused while the first is instructed, acknowledged or unknown.*

1. **One open instruction per promise.** While an instruction for a promise (a settlement line, a conversion of a balance) is instructed, acknowledged or of unknown outcome, the server refuses a second instruction for the same promise from any role and any channel: the unique key is the promise, not the request (Ledger Posting Design rule 1b, Pattern P). This is what prevents a double payment.
2. **A reroute or any alternative payout starts from a closed instruction.** A reroute after conversion, a re-instructed settlement line or a payout through another partner is allowed only when the original instruction's status is rejected, or acknowledged as not executed, with the partner's reference recorded on the instruction, and the balance reconciliation shows the client's money still at the first partner (ledger balance equal to the partner's statement, the amount included).
3. **Unknown is not rejected.** An instruction with outcome unknown is on the exception list with its age; Finance obtains the partner's statement or written confirmation; nothing is re-instructed meanwhile. Management may authorise an exception only with the partner's written confirmation that the instruction was not and will not be executed, its reference, and the reconciliation attached; the exception is an APPROVAL naming them, and the instruction is closed as rejected before the alternative is instructed.
4. **Delayed confirmation is not failure.** The reviewer's case, the first partner debits EUR but confirmation is delayed, is an acknowledged instruction: the alternative payout is refused until the partner's statement arrives, and when it shows the money moved the line ends confirmed as usual. The Test Strategy test S-ACK exercises every acknowledgement outcome (acknowledged late, rejected, unknown then executed, unknown then not executed) and proves no second instruction can be created while the first is open.

## 3 · Settlement, rates, reroute and approval records

**Figure 2 — settlement: a run and its lines, with the named "sent, not yet confirmed" state**




*Sent, not yet confirmed (NPL confirmed 20 October): the promise is already discharged; the line shows released_at and expected_confirmation_by and is on the Finance log report and, past its expected time, on the exception list. Management approves above the settlement limit, a third same-day slot, a cross-group payout, or as countersign.*

*Figure 2 — Settlement: a run and its lines. The promise is discharged when the partner releases the money; a line is then "sent, not yet confirmed" until the receiver confirms, the bank deducts a fee or the bank rejects; a return or a short delivery re-raises the promise. A run completes when every line is confirmed, short or returned. Red bar: the point of no return.*

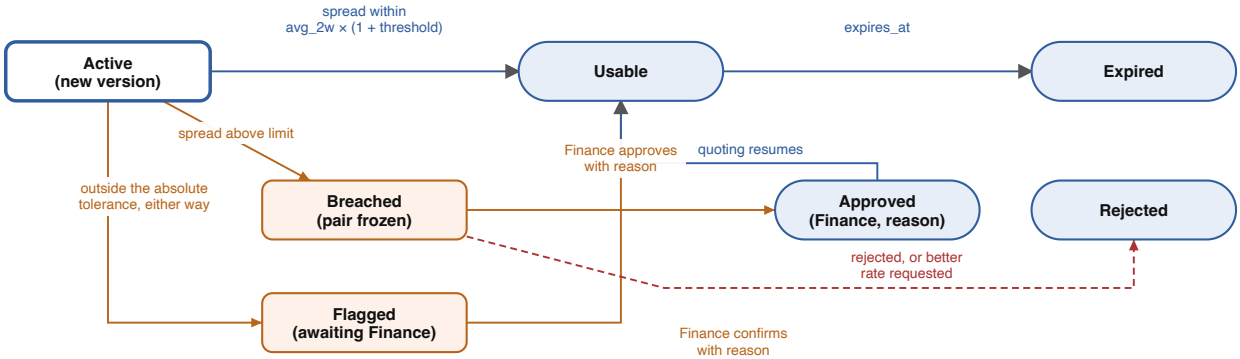
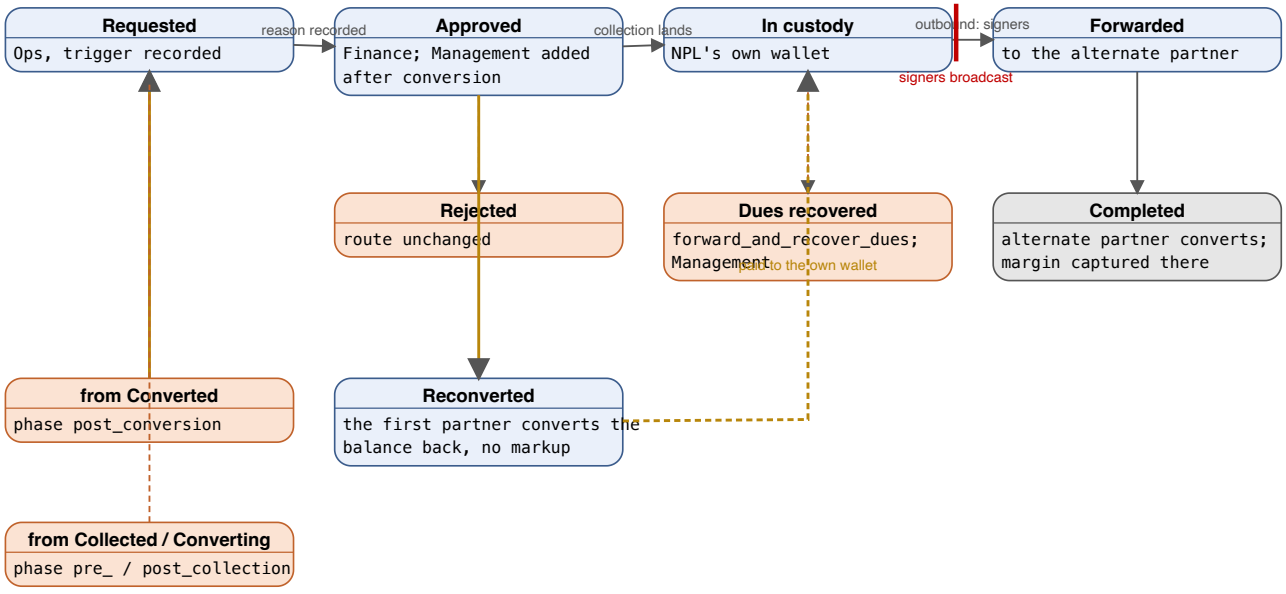



*Figure 3 — Partner rate version. Stored as quoted, with its direction and, for cash pairs, its city. A breach freezes quoting and conversion on that partner × pair; there is no skip path.*

**Figure 4 — reroute, with the entry after conversion**




*Client money rests in NPL's own wallet in four cases now: before conversion, after conversion, a bridge collection, an own-desk leg.*
*The leg's client net is write-once; the alternate partner's cost and the rate difference are NPL's (Ledger Pattern O).*

*Figure 4 — Reroute, with the entry after conversion (phase post_conversion, Section 2b). Client money rests in NPL's own wallet in four cases only — an approved reroute before conversion, a reroute after conversion, a bridge collection awaiting its hop, an own-desk leg — and every resting balance carries deal, reason and age. Red bar: the point of no return for an own-wallet transfer.*

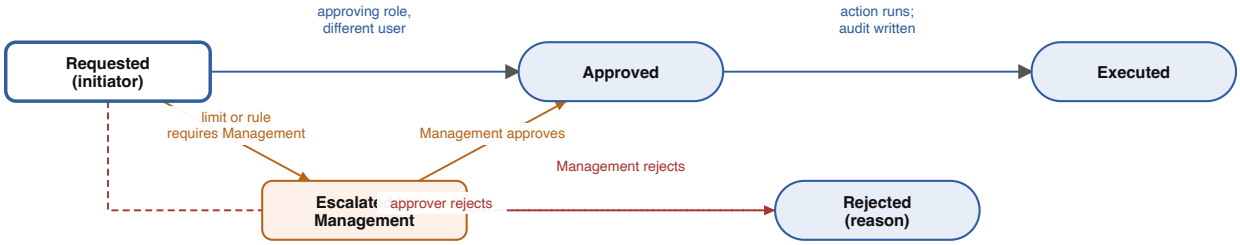
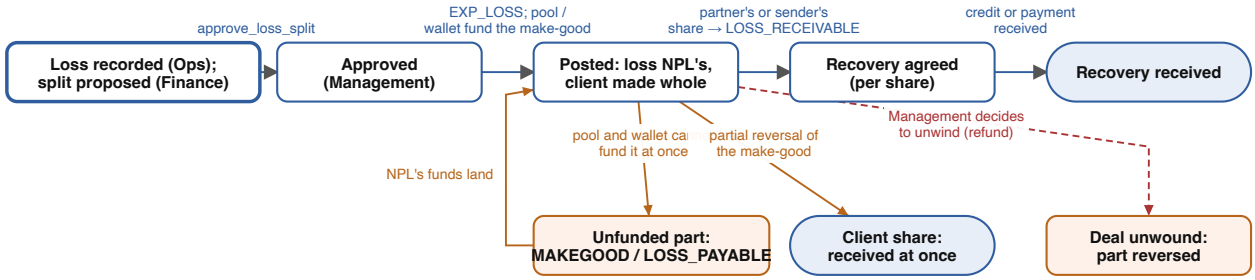



*Figure 5 — An APPROVAL record. The approver's ROLE must hold may_approve for the action in ROLE_RIGHT and differ from the initiator; a rejection never deletes anything.*

## 4 · Losses, offsets and the reseller's invoices




*sources: LossEvent for the event, LossRecovery for each share's agreed and received postings (one transaction per state change)*

*Figure 6 — Loss event and recoveries. The whole loss is NPL's first and the client is made whole in the same transaction; each share is then its own LOSS_RECOVERY posting. The collection part stays verified unless Management unwinds the deal.*

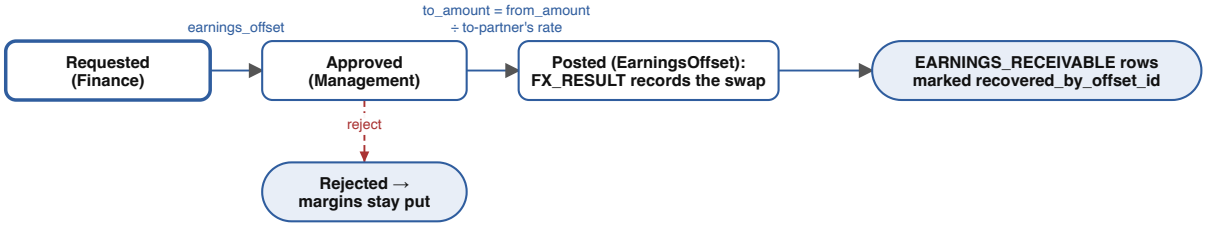



*Figure 7 — Earnings offset between partners. NPL's converted margin at one partner becomes the client's there; the same value of the client's unconverted money at another becomes NPL's, at the to-partner's rate of the day; the client's entitlement is unchanged.*

### NPL-GR's two invoices

In the reseller project NPL-GR is the client of its own remittance deal. The vendor's invoice to NPL-GR and NPL-GR's resale invoice to its customer are posted once each, in the invoice currency, when received and when issued; the resale invoice names the vendor invoice it marks up. A deal group that collects the resale invoice names it and the part it collects (advance, then balance) at the pricing rate; each vendor payment line names the vendor invoice, the obligation it discharges and the rate at discharge, and the forex result of paying on a later day's rate is a true-up on the remittance side, never on the reseller revenue. A resale invoice is settled when its groups have collected its amount; a vendor invoice when its released lines have discharged its amount (INVOICE_BALANCE by kind).

## 5 · Controlled actions: who initiates, who approves, what rejection means

The approving role is always a different user from the initiator. "Escalates to Management when" lists the conditions that add a Management approval on top of, not instead of, the approving role's. The last column is the `ROLE_RIGHT.action` code that carries the right; "—" marks an audited operational step with no approval row of its own.

| Controlled action | Initiates | Approves | Escalates to Management when | On rejection | ROLE_RIGHT |
|---|---|---|---|---|---|
| Quote a deal (price, fee, partner × pair) | Operations | Finance | Below-margin quote: Finance approval mandatory before sending (FEE_STRUCTURE.min_margin_pct) | Returns to Ops with reason; the quote package is not sent; Ops re-prices as a new quote | `price_quote` |
| Extend a quote's validity (before the validity in force ends) | Operations | Finance | The new validity passes the partner's cutoff or the rate version's expiry; any number of extensions, each a QUOTE_VALIDITY_EXTENSION row re-issuing the package at the same price | Validity ends as quoted; the paths are the grace decision and a new deal group | `extend_quote_validity` |
| Honour an expired quote's rate on a new deal (late decision) | Operations | Finance | Always Finance (honour_expired_rate): the new leg is priced on the earlier leg's market rate and partner rate version, the difference against the day's rate posting to VAR_RATE_HONOUR | Re-quote at today's rate with a new deal reference; the original stamp is kept | `honour_expired_rate` |
| Enter a manual rate (reference feed outage) | Operations | Finance | Evidence attached (both feeds down) | No rate; quoting waits for the feed or a new manual entry | — |
| Confirm a partner rate version | Operations (enters, as quoted: rate and direction,; city for cash pairs) | Finance (confirms) | Breached version: Finance approval with recorded reason, or rejection; no skip path | Pair stays frozen; Ops may request a better rate from the partner, which is a new version | — |
| Record a partner cutoff override (extension agreed, or early close) | Finance | — (recorded with the partner's agreement reference) | — | The standing cutoff applies | — |

| Controlled action | Initiates | Approves | Escalates to Management when | On rejection | ROLE_RIGHT |
|---|---|---|---|---|---|
| Screen a sending or receiving wallet | Operations (an Operations action, not an approval) | — (result and decision recorded with evidence); Management decides a second look (screening_second_look) | A report not clear under the provider's Strict rulebook (any category at threshold, a terrorism / TF trace, or a score outside the clear band) goes to Management's second look: Management decides accept, accept_alternate or reject with a reason; Finance has no right on a screening; a partner's hold, freeze or decline is recorded as its event and never lifted at NPL; accept_alternate may land only on an elevated-band endpoint | No collection on that address; the sender is given an alternate wallet or refused | `screening_second_look` |
| Verify a collection (hash / slip / receipt; a cash part after the partner's count) | Operations | — (audited; Finance reviews in reconciliation) | Underpayment left open beyond policy: Finance decides wait or void. The system refuses the part if its endpoint is not active, does not belong to the leg's partner entity, or its kind does not match the leg's collection method; a single-use endpoint serves one deal only | Collection stays unverified; funds are not attributed | — |
| Activate a collection endpoint (COLLECTION_RECEIVING_ENDPOINT) | Operations | Finance | — (the system refuses to activate a bank endpoint without rail, or a wallet whose rail differs from its network —; a wallet's network must be one the partner's vehicle offers) | Endpoint stays inactive; no collection may reference it | — |
| Instruct a conversion | Operations | Finance | Variance beyond tolerance opens an exception that Finance resolves; on a bank-channel pair Converting may not start before conversion_due_date; a next-day rate that breaches the minimum margin defers the conversion with a reason | Conversion not instructed; deal stays Collected | — |
| Keep the deal's margin unconverted (CONVERSION.residual_in) | Finance | — (part of the conversion instruction; EARN_GROSS recognised in the collection currency) | — | The margin converts with the client's money and rests at the partner as EARNINGS_RECEIVABLE | — |
| Resolve a conversion variance exception | Finance | Finance (second user) | Variance above the project's exception limit → Management | Exception stays open; the deal is already converted and does not wait | — |

| Controlled action | Initiates | Approves | Escalates to Management when | On rejection | ROLE_RIGHT |
|---|---|---|---|---|---|
| Prepare and release a settlement | Operations | Finance | Above settlement limit; third same-day slot; a counterparty receiver paid from a leg attributed to another group (offset) — never for a line paying a sender_return or partner_transit receiver, which debits the group of the leg named in its deal_id; a bank-rail settlement approved after the partner's cutoff goes out on the next business day; only one Finance user on shift → Management countersigns | Back to Prepared with reason; lines can be changed and re-submitted | — |
| Override the bank-fee treatment on one settlement | Operations | Finance | — | Project default applies | — |
| Cover a bank fee, or raise the fee above the cap | Finance (recommends, FEE_DECISION.recommended_by) | Management | Always: a covered bank fee, or a markup above max_markup_pct after discussing with the customer | The project's bank-fee treatment applies; the cap stands | `cover_bank_fee / raise_fee_cap` |
| Top up a shortfall from the pool | Finance | Management | Always Management (company money becomes client money) | Shortfall stays open; receiver remains short | — |
| Pay a counterparty receiver from another group's leg (offset) | Operations | Finance | Always Management, with tighter aging on the resulting offset. Does not apply to refund (sender_return) or hop (partner_transit) lines: cross_group_payout never fires on them | Lines must stay within the entitled group | `cross_group_payout` |
| Request a reroute | Operations | Finance | Contingency route set (applicable_for_reroute) is configuration: Management | Deal stays on its route; if the partner is unavailable the deal waits or is voided | — |
| Outbound transfer from NPL's own wallet | Finance | Management (dual approval) | Always; executed by NPL signers outside the platform (hardware or multisig); a bridge hop to the leg's partner within custody_max_hours follows the same path | Funds stay in custody; aging continues to be reported | — |
| Recover dues on a reroute (net against forwarded funds) | Finance | Management | Always; amount ≤ outstanding receivable at that partner; partner's agreement recorded | Forward the full amount | `recover_dues` |

| Controlled action | Initiates | Approves | Escalates to Management when | On rejection | ROLE_RIGHT |
|---|---|---|---|---|---|
| Earnings offset between partners (EARNINGS_OFFSET) | Finance | Management | Always: NPL's converted margin at one partner becomes the client's there and the same value of the client's unconverted money at another becomes NPL's, at the to-partner's rate of the day; recovers EARNINGS_RECEIVABLE rows; recorded for NPL in FX_RESULT | Margins stay where they rest; receivables wait for the partner's fee cycle | `earnings_offset` |
| Balance conversion (client balance to another currency) | Finance | Management | Always; any excess over the served group's entitlement is an offset and needs the offset approval too | Balance stays in its currency | `balance_conversion` |
| Open a return leg after a rejected payout | Operations | Finance | Destination other than the sender's own return receiver → Management with reason (refund_to_third_party); markup apply / waive is a FEE_DECISION approved by Finance | Returned funds stay in balance for later payouts | `refund_to_third_party` |
| Override the network-fee policy on a refund | Operations | Finance | — | Project default applies | — |
| Void a deal before money moved | Operations | Finance | — | Deal continues | — |
| Void a deal after collection (refund / sender credit / hold) | Operations | Management | Always | Deal continues; funds stay attributed | — |
| Record a loss event and approve its split | Operations records; Finance proposes the split | Management (approve_loss_split) | Always: the whole loss is booked to NPL and the client made whole when the event is approved; each share the partner, the sender or the client bears is its own LOSS_RECOVERY posting; unwinding the deal (COLLECTION reversed) is a separate Management decision | The loss stays open on the exception list; the make-good stands | `approve_loss_split` |
| Record a loss recovery received (partner credit, sender payment) | Finance | — (audited; names the LOSS_RECOVERY row) | — | The receivable stays open | — |
| Record a partner's destination approval (DESTINATION_APPROVAL) | Operations | Finance | — (payout details follow the account's kind: bank reference for a bank account, network and address for a wallet —; a wallet account carries its screening) | Approval stays pending_partner; quote-first deals for it cannot leave Inquiry | — |
| Post NPL-GR's vendor and resale invoices | Finance | — (audited; posted once each in the invoice currency, source Invoice) | — | Nothing posts; the remittance deal cannot name an invoice that is not recorded | — |

| Controlled action | Initiates | Approves | Escalates to Management when | On rejection | ROLE_RIGHT |
|---|---|---|---|---|---|
| Enable an own-desk partner configuration | Finance | Management | Always: NPL itself converts in its own wallet for this project | The project keeps its outside partners | `enable_own_desk` |
| Change thresholds, fee structures and tiers, partner configuration, rate sources, pairs and rounding, holidays, templates | Finance | Management | Always; all versioned (new rows with an effective date) | Current version stays in force | — |
| Change a system setting (reporting currency, staleness limit, time zone) or a platform pair | Finance | Management | Always | Current setting stays in force | — |
| Create, change or remove a user or role (ROLE, ROLE_RIGHT, USER) | Management | Management (second user) | Always | No change | — |
| Ledger adjustment (reversal and re-posting; a company currency exchange through FX_RESULT) | Finance | Management | Always; the reversal names the transaction it reverses | Books unchanged; the discrepancy stays on the exception list | — |
| Emergency suspend of a partner, freeze of a destination, or override of a partner cutoff (immediate) | Finance applies it at once, with a mandatory reason; the suspension, freeze or override takes effect immediately on every deal and settlement it touches | Management ratifies within one business day (after the fact) | Always: the action is recorded as applied and awaiting ratification; the deals affected show it as the blocker (Roles & Visibility rule 8) | Not ratified: the action is lifted and the standing configuration applies again; the record and the reason stay (EMERGENCY_ACTION in the ERD) | `emergency_suspend` |

Deals in flight when an emergency action is applied are handled by the three cases of the table after Figure 4.

## 6 · Rejection handling, the same way everywhere

1. **Nothing is deleted.** The request, the rejection and its reason stay on the APPROVAL record and in the audit log. A re-submission is a new approval request that points at the rejected one.
2. **The record returns to the initiator's last safe state.** A rejected quote is not sent; a rejected settlement goes back to Prepared; a rejected reroute leaves the route unchanged; a rejected balance conversion leaves the balance in its currency; a rejected offset leaves every margin where it rests.
3. **Money that already moved is never rolled back by a rejection.** A conversion the partner has booked stands; a variance exception is resolved by a decision and, if needed, a reversing ledger entry, not by editing the conversion. A loss that Management has approved stands as NPL's; only its shares are recovered.
4. **A rejection reason is mandatory** and is visible to the initiator; derived-economics fields are stripped from the reason shown to Operations.
5. **Frozen states need a decision, not time.** A breached rate version, an open variance exception, an open offset, custody in NPL's wallet, an unfunded make-good and a negative pool all stay on the daily exception list until a role with authority acts. A leg on hold (2c) and an instruction with outcome unknown (2d) are on the same list and end the same way: by a recorded decision or reference, never by time.
6. **Escalation never skips a level.** Management approves in addition to Finance; when only one Finance user is on shift, Management's countersignature stands in for the second Finance user.

## 6a · Concurrency rules

Section 5 of the Architecture note already gives every money-moving action a unique key, so a retried request cannot post twice, and locks the record a person is editing. Three rules complete that protection.

| Rule | What the system does |
|---|---|
| 1. An approval is valid only for the state the approver saw | An APPROVAL carries the record version it was requested on. If the record changed between request and approval (another user edited it, a job moved it, a second approval landed), the approval is refused and the approver is shown the current state; a fresh request is needed. Two approvers acting on the same request at once: the first commit wins, the second is refused. |
| 2. Two runs of a job never overlap | Each background job of the Architecture note (Section 4) takes a lock row before it runs and releases it at the end; a run that finds the lock held exits at once and is recorded as skipped. After a restart the job catches up from where the last run finished, so nothing is processed twice. |
| 3. A record lock expires | RECORD_LOCK is released on save or cancel; it expires after a fixed idle time (THRESHOLD kind lock_idle_minutes, default 15) so a closed laptop does not block a record for the day; Management can clear a lock; the lock, its release, its expiry and any clearance are written to AUDIT_LOG. The lock row carries lock_expires_at (ERD Appendix B.5). |

These rules are built in Phase 1 (M3 to M5) and tested with the concurrency, duplicate-submission and outage cases of the go-live acceptance tests (Cutover Approach, exit criteria 9 to 13).

## 7 · State tables by entity

| Entity | States and transitions | Notes |
|---|---|---|
| DEAL_GROUP | Inquiry → Quoted → Sent → Accepted → Collecting → Collected → Converting → Converted → Settled; Expired / in grace; Requoted; Voided; Voided after collection → Refunded / Credited / Held | The group's state follows its legs: Settled when every forward leg is settled and no return leg is open. In NPL-GR the group names the resale invoice it collects and the part of it. |
| DEAL (leg) | As Figure 1. A collect-first or return leg is born at Collected; an estimate-first leg enters Collecting; leg 2 of a route is born at Collected when leg 1 pays the transit receiver. On a bank-channel pair a Collected leg carries rate_locked_at, cutoff_at and conversion_due_date and may not convert before the due date | leg_type and funding_source decide the entry point. Pricing fields are write-once after priced_at; a leg priced on an expired leg's rate carries rate_reused_from_deal_id and the override that allowed it. A return or hop leg inherits the parent leg's receiver group; cross_group_payout never fires on it. |
| QUOTE_PACKAGE | issued → superseded (by a re-issue) | One row per issue of a group's quote; a quote-first leg is Sent only when a package has sent_at; freshness runs from the leg's market snapshot to sent_at, validity from sent_at. |
| QUOTE_VALIDITY_EXTENSION | requested → approved (Finance; Management past the cutoff or the rate version's expiry) | Any number per leg before the validity in force ends; each moves DEAL.effective_valid_until and re-issues the package at the same price. |
| WALLET_SCREENING (decision) | accept \| accept_alternate \| reject; a report not clear under the provider's Strict rulebook awaits Management's second look, a screening hold on the leg (2c) | An Operations action before a crypto collection or before a wallet payout; accept_alternate lands only on an elevated-band endpoint. Finance has no right on a screening; a reject stands until a new screening row decided by Management (Roles & Visibility rule 11). |
| DEAL (hold) | none → partner_hold \| screening_hold → none (cleared); → disposition (refund on the partner's instruction, or reroute) | The leg keeps its state; hold_kind and hold_ref name the event or screening row; every money-moving action on the leg is refused while the hold stands; lifted by the partner's clearance reference or Management's second look (2c). |
| COLLECTION | pending → verified; reversed (only when Management unwinds a deal after a loss). Cash: token_issued → handed_over → counted → verified | Parts post as verified; a cash part only after the partner's count. Overpayment creates SENDER_CREDIT; underpayment waits or is voided. After a loss the part stays verified: NPL's funds stand in. |

| Entity | States and transitions | Notes |
|---|---|---|
| CONVERSION | Expected → instructed → acknowledged → Booked → Approved; Variance exception (Booked, beyond tolerance) → Resolved; instructed → outcome unknown → acknowledged \| rejected (2d) | The booked figure is what the partner did; the difference posts to VAR_CONVERSION (partner_calculates), VAR_CUTOFF (after the cutoff) or VAR_RATE_HONOUR (an honoured expired rate); the exception is resolved by Finance; the deal does not wait. residual_in keeps the deal's margin unconverted, EARN_GROSS recognised in the collection currency. |
| BALANCE_CONVERSION | Requested (Finance) → Approved (Management) → Booked; Rejected. A banking-ready balance waits for conversion_due_date | Owns exactly one CONVERSION; entitlement re-attributed to the served group on booking. |
| REROUTE | Requested → Approved → In custody → Forwarded → Completed; Rejected | Phase pre_collection or post_collection; outcome via_own_wallet or refund_sender; forward_full or forward_and_recover_dues. |
| REROUTE, phase post_conversion | Requested → Approved (Finance, Management) → Reconverted → In custody → Forwarded → Completed; Rejected | Trigger as for any reroute; outcome via_own_wallet only; the reroute owns the balance conversion back and names the second conversion; the leg returns to Converted at the alternate partner. Starts only from a closed payout instruction at the first partner: rejected or acknowledged as not executed, with reference, and the balance reconciled (2d). |
| EARNINGS_OFFSET | requested (Finance) → approved (Management) → posted | Recovers EARNINGS_RECEIVABLE rows at the from-partner; the swap is recorded for NPL in FX_RESULT. |
| SETTLEMENT | Prepared → Approved → Released → Completed; Rejected (back to Prepared). A bank-rail run approved after the cutoff is released on execution_due_date | Completed when every line is confirmed, short or returned. |
| SETTLEMENT_LINE (outcome) | instructed → acknowledged (= sent) → sent → confirmed \| short \| returned; instructed → outcome unknown → acknowledged \| rejected (2d) | The promise is discharged on release; a short confirmation re-raises it for the missing part and a return for what came back. A line paying a group-less receiver carries deal_id and is never an offset; a hop line posts only when the far side credits. short added. |

| Entity | States and transitions | Notes |
|---|---|---|
| SETTLEMENT_LINE, “sent, not yet confirmed” | sent (released by the partner, released_at set) → confirmed \| short \| returned | NPL Finance confirmed on 20 October that this state is shown by name on the settlement screens and on the Finance log report of released, unconfirmed lines (Phase 2, M7). A line whose expected_confirmation_by has passed is on the exception list; the promise was discharged on release (Ledger Posting Design, rule 13) and nothing posts until the line ends confirmed, short or returned. |
| CONFIRMATION (result) | full \| short | Full posts nothing; short opens a SHORTFALL unless the treatment is waived. |
| SHORTFALL | open → topped_up | Top-up funded from the pool, Management approval, paid with the next settlement. |
| SETTLEMENT_RETURN | recorded (terminal) | Funds a return leg or stays in balance; the bounce fee is a BANK_FEE_EVENT. |
| BANK_FEE_EVENT | open → applied | Applied to the settlement that carried the true-up; treatment waived / carry_forward / absorbed; a covered fee is a FEE_DECISION. |
| COLLECTION_RECEIVING_ENDPOINT (status) | inactive → active; active → suspended; a single_use endpoint retires after its one reference | A bank endpoint becomes active only with rail set; a wallet may stay without rail, and its rail, when set, equals its network; the network must be one the partner's vehicle offers. |
| RECEIVING_ENTITY_ACCOUNT (usage) | standing; single_use → retired after the one payout it was reserved for | . |
| RATE_COMPARISON | open → closed | One per partner × pair × date; closed at end of day. |
| PARTNER_RATE_VERSION | active → usable → expired; active → breached → approved → usable, or rejected; active → flagged (spread outside the absolute tolerance, either direction) → usable when Finance confirms it with a reason, or rejected; a flagged version prices nothing and the pair is not frozen (Calculation Specification 2a) | Never overwritten; each conversion names its version; stored as quoted with direction and, for cash, the city. |
| PARTNER_CUTOFF_OVERRIDE | recorded (one day or a weekday rule) | An agreed extension or an early close; the effective cutoff is stamped on the leg at rate lock and on the settlement at approval. |
| DESTINATION_APPROVAL (approval_status) | pending_partner → approved → suspended → approved | A quote-first deal leaves Inquiry only if the entitled group has an approved destination with the chosen partner. Payout details follow the account's kind; a wallet account carries its screening. |

| Entity | States and transitions | Notes |
|---|---|---|
| FEE_DECISION | proposed (Finance recommends) → approved (Finance; Management for a covered bank fee or a markup above the cap) → applied; rejected | One subject (deal leg, settlement or balance conversion); standing rules are unaffected. |
| SENDER_CREDIT | open → applied | Applied to a later deal or refunded (a void disposition); never netted against anything NPL is owed. |
| EARNINGS_RECEIVABLE | outstanding → recovered (recovered_by_deal_id on a reroute, recovered_by_offset_id on an earnings offset) | Recovered on the partner's fee cycle, by netting on a reroute, or by an earnings offset. |
| MARKUP_SHARE_ACCRUAL | accrued (with the conversion) → reconciled → settled | Direction payable (NPL pays) or receivable (the party holds the funds and pays NPL the remainder monthly). |
| PARTNER_REBATE_ACCRUAL | expected (with the conversion, in payout_currency) → reconciled → received | Monthly against the partner's statement, NPLify deals only. |
| INVOICE (NPL–GR) | open → settled; void. kind vendor: discharged line by line (obligation_discharged on release); kind resale: collected by its deal groups (invoice_amount) | Posted once each in the invoice currency (RESELL_COST / VENDOR_PAYABLE; RESALE_RECEIVABLE / RESELL_REVENUE); the reseller revenue is intact by construction. |
| LOSS_EVENT | open → approved (Management) → posted | As Figure 6; pool_funded, wallet_funded and funding_reference record how the make-good was funded. |
| LOSS_RECOVERY | agreed → received (a client share is received at once) | One row per share; each state change posts one transaction under source LossRecovery. |
| APPROVAL | requested → approved \| rejected; requested → escalated → approved \| rejected | As Figure 5; the approver's role holds may_approve for the action (ROLE_RIGHT). |

## 7a · The point of no return, and what can still be done after it

Rule 3 of Section 6 says that money which has moved is never rolled back. The table names the moment in each stage after which that holds, and the only recovery actions that remain. The same points are marked on Figures 1 to 4.

| Stage | Point of no return | Before it | After it, the only recovery actions |
|---|---|---|---|
| Collection | The sender's money lands on the endpoint (hash confirmed, slip received, cash counted) | Void before money moved: no posting, instructions withdrawn (Operations, Finance) | Post-money void with a disposition: refund to the sender's return receiver, sender credit, or hold (Management); a loss event if the money is lost after verification |
| Conversion | The partner books the conversion | Conversion instruction withdrawn; deal stays Collected | The booked figure stands; a variance beyond tolerance is a Finance decision and, if needed, a reversing entry; a reroute after conversion (Section 2b) moves the balance, never the booking |

| Stage | Point of no return | Before it | After it, the only recovery actions |
|---|---|---|---|
| Settlement | The partner releases the payout (execution) | Rejected back to Prepared; lines changed and re-submitted | Nothing is cancelled: the line ends confirmed, short or returned; a return funds a return leg or stays in balance; a duplicate instruction is refused by its idempotency key |
| External instruction (any) | The partner acknowledges the instruction (2d); the money moves at execution | Withdraw the instruction (Operations, Finance); a second instruction for the same promise is refused while the first is open | Nothing is re-instructed until the partner reports rejected or not executed, with its reference; outcome unknown waits on the partner's statement; a Management exception needs the partner's written confirmation and the reconciliation |
| Own-wallet transfer | NPL's signers broadcast the transaction | Management rejects; funds stay in custody | The transfer is final on chain; a wrong destination is a loss event; the hop or forward is recorded when the far side credits |

## 8 · Aging and the daily exception list

These things age and are reported daily with deal, reason and hours since the event: client money in NPL's own wallet (custody — reroutes, bridge collections awaiting their hop, own-desk balances), open offsets across receiver groups, open shortfalls, open variance exceptions, a pool below zero awaiting the next conversion, an unfunded make-good (MAKEGOOD / LOSS_PAYABLE), loss recoveries agreed and not received, and settlement lines sent beyond the rail's expected time, legs on hold (partner or screening) with the hold's age and source, and external instructions whose outcome is unknown. Breached rate versions, frozen partner × pairs and quotes past their validity appear on the same list. Time limits for each are project configuration (THRESHOLD, OWN_WALLET.custody_max_hours) and are not fixed by this document.

## 8a · Next action and time limits

NPL's decision (19 October): pending items belong to the role, not to a named person. Two things are therefore required of every pending item, and one time limit per stage.

| Requirement | What every pending item shows or does |
|---|---|
| Visible to the whole role | Every pending approval, collection, conversion, settlement or exception is on the list of every user in the role that must act, whoever started it; the initiator's absence changes nothing. |
| Self-explanatory | Each item shows its state, why it is pending, the last action with its time and user, the next action required, the role that must act, how long it has been pending, and the cutoff it is running against (the per-role lists gain a next-action column in Phase 1). |
| Time limit per stage | THRESHOLD kind approval_time_limit, one row per stage, in minutes, with an escalation role (Configuration Schema). When the limit passes, the item appears on the escalation role's list as overdue and raises an alert (Phase 3, M8). NPL maintains the values: Finance proposes, Management approves. A cutoff warning is raised a configurable number of minutes before a partner's cutoff for any item still pending against it. |

### Default time limits (illustrative, from the design review)

| Stage | Role that acts | Default limit | Escalates to |
|---|---|---|---|
| Collection verification | Operations | 15 minutes from the partner's confirmation | Finance |
| Partner rate confirmation | Finance | 15 minutes from the rate being entered | Management |

| Stage | Role that acts | Default limit | Escalates to |
|---|---|---|---|
| Conversion approval | Finance | 15 minutes from the request | Management, at once if the cutoff is within 30 minutes |
| Settlement approval | Finance | 30 minutes from the request | Management |
| Partner execution confirmation | Operations | the rail's expected time (Section 8) | Finance; the partner is chased |
| End-of-day reconciliation | Finance | before the day is closed | Management, if a discrepancy stays open |
| Cutoff warning | the role holding the item | 60 minutes before the partner's cutoff; a second warning at 30 | Management at the second warning |

These are the values proposed in the review; NPL sets the real ones per project before the parallel run. Where the delay affects a client (a missed cutoff, a reroute, a changed settlement date), the Operating Procedures say when and how the client is told.

*State names are the proposal for the state columns the ERD leaves as free text; once agreed they become the enumerations of those columns.*